SENSEX

Sensex is an index of the stocks in BSE (Bombay Stock Exchange). Sensex has a list of 30 stocks. BSE decides the stocks that are to be listed on Sensex. The criteria for picking a stock to be listed on Sensex is volume of the trade of that stock and total volume of the stock in BSE.



Based on the above said factors, BSE regularly prepares a set of 30 stocks which will be together called as SENSEX. BTW Sensex means sensitive Index Now each stock is allotted a weight-age according to a criteria and the criteria also keeps on changing with time. So now stocks are normally traded in BSE each day and price of stocks is determined according to demand and supply

Stock Trading Timings in India

There are two major stock exchanges in India- Bombay stock exchange (BSE) and National stock exchange (NSE). However, the timing of both BSE & NSE is the same. First of all, you need to know that the stock market in India is closed on weekends i.e. Saturday and Sunday. It is also closed on the national holidays. The normal trading time for equity market is between 9:15 a.m to 03:30 p.m, Monday to Friday.

The trading time for commodity (MCX) market is between 10:00 a.m. to 11:30 a.m. Monday to Friday.

The normal trading time for Agri-community (NCDEX) market is between 10:00 a.m. to 05:00 p.m. Monday to Friday.

In addition, there is no lunch break or tea break in the Indian stock market timings. The timings of the Indian stock market are divided into three sessions:

1. Normal session (also called continuous session)
2. Pre-opening session
3. Post-closing session

Future Market

A Future market is an auction market in which participants buy and sell commodity and futures contracts for delivery on a specified future date. Examples of futures markets are the New York Mercantile Exchange, the Kansas City Board of Trade, the Chicago Mercantile Exchange, the Chicago Board of Options Exchange and the Minneapolis Grain Exchange. Originally, trading was carried on through open yelling and hand signals in a trading pit, though in the 21st century, like most other markets, futures exchanges are mostly electronic.

Options Market

An 'option' is a choice based mutual agreement that allows (but need not mandatory) trading between two parties to buy or sell or trade instruments like securities, ETFs (Exchange Traded Fund), or index funds at a fixed cost and in a specified period. This market is called as options market. There are two types of options call and put option. The call option is referred to when the activity of investor purchase of financial instruments in near future. Contradictory to this, put option is an activity by which the trader could sell the share as agreed upon in the original option contract.

12th Commerce Unit 3.indd 55 09-12-2021 1.23.28 PM